TUNIA TECHNOLOGIES

Sales & Profitability Analysis Report

Identifying Growth Drivers, Margin Constraints & Strategic Priorities

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EXECUTIVE SUMMARY

$2.30M

Total Revenue

$286.4K

Total Profit

12.5%

Profit Margin

489%

Sales Growth (Feb→Nov)

Key Findings

Revenue Performance: Strong at $2.30M with notable growth from $59.8K (Feb) to $352.5K (Nov), +489% growth.

Profitability Constraint: ~12.5% margin held back by product losses and inconsistent discounting practices.

Category Concentration: Technology drives 36% of revenue ($836.2K). High margin but concentrated risk.

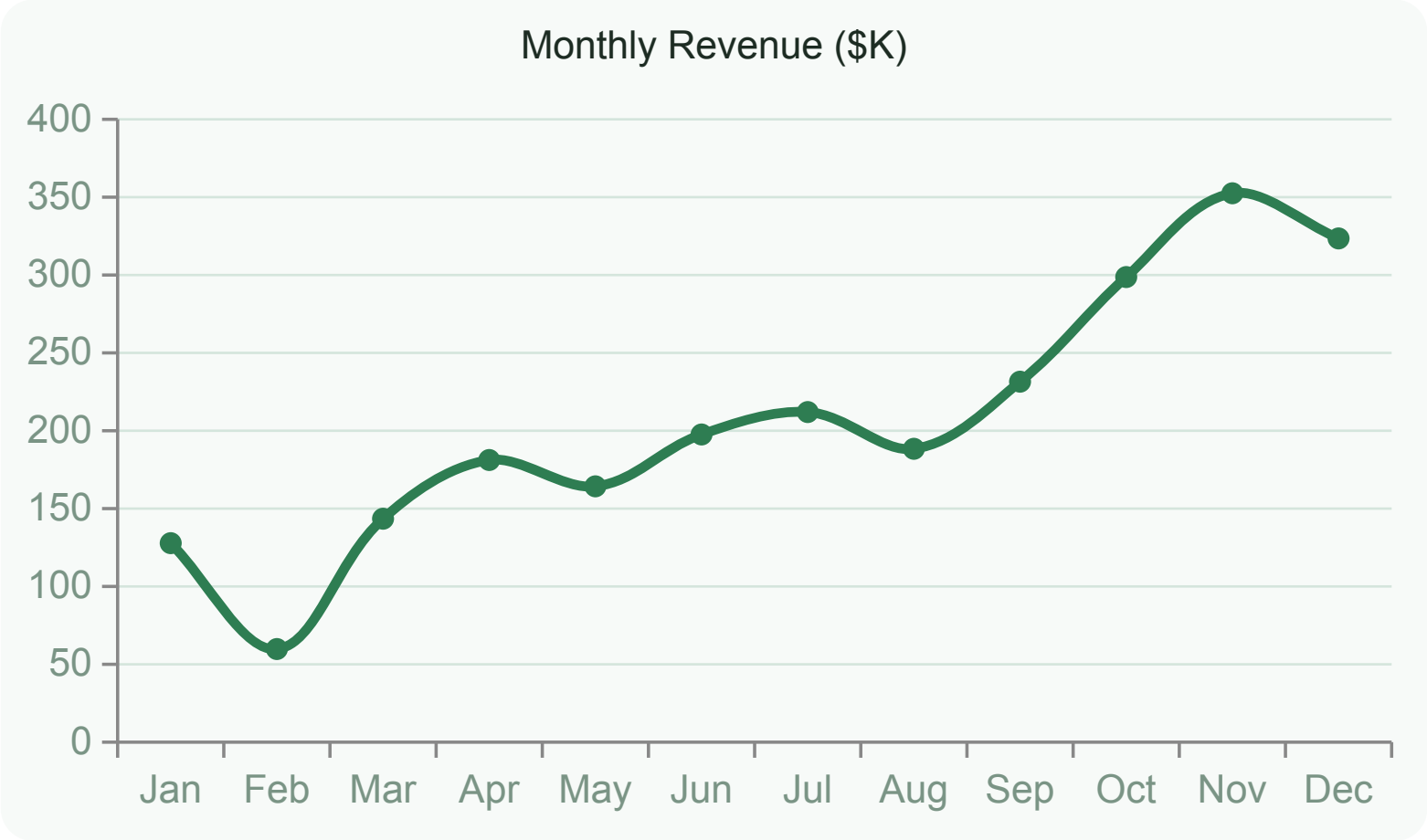
Constraints & Risks

Segment Leader: Consumer segment leads profit at $134.1K — outperforming Corporate by 46% and Home Office by 122%.

Product Losses: Underperforming SKUs (printers, conference tables) generating $17K+ in losses annually.

Pricing Discipline: Binder discounts ($567) vs. $100–137 across other categories signal weak pricing controls.

REVENUE PERFORMANCE



$59.8K

Feb — lowest month

$352.5K

Nov — peak month

~42%

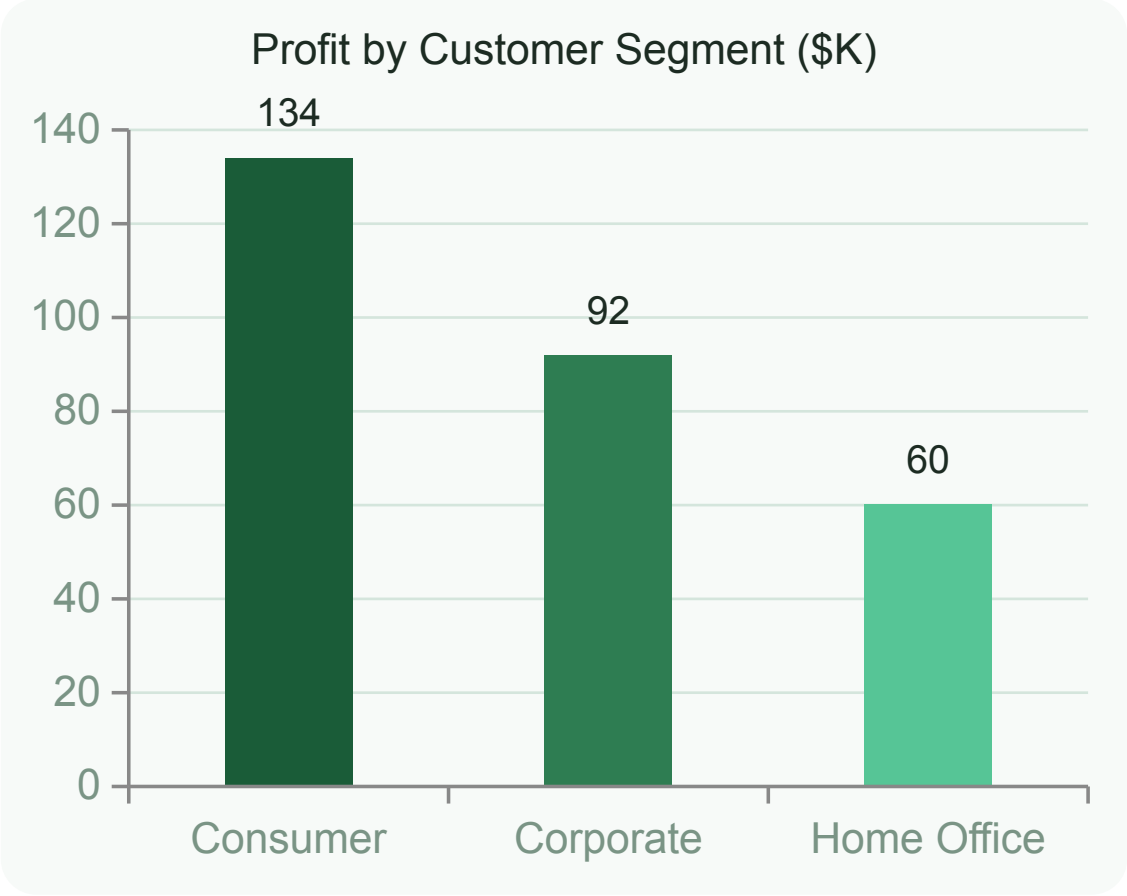
Q4 share of annual revenue

489%

Growth: Feb → Nov

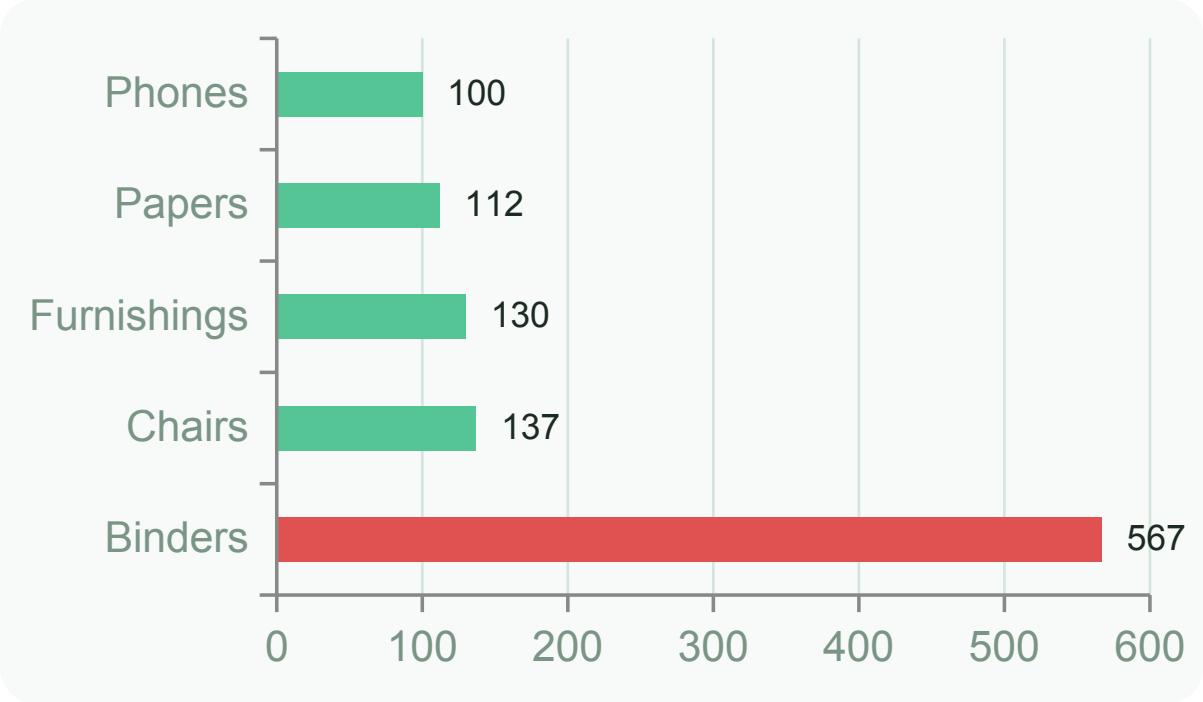
Sales growth is heavily concentrated in Q4 (Oct–Dec), creating cash flow gaps and forecasting risk in Q1–Q3.

PROFITABILITY & DISCOUNTING ANALYSIS



Discounting Breakdown by Category

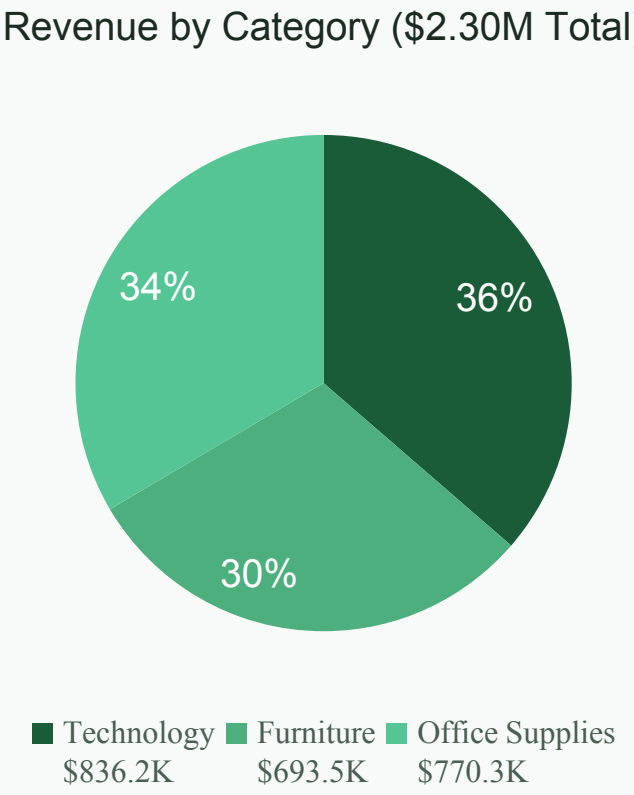
Inconsistent discounting is compressing margins without clear returns.



Consumer leads profit: $134.1K

Binder discount outlier: $567 vs $100–137 avg (others)

CATEGORY & PRODUCT ANALYSIS



Technology — $836.2K (36%)

Primary growth driver with high margins. Includes phones, accessories, copiers. Risk: concentration dependency if performance weakens.

Office Supplies — $770.3K (33%)

Includes binders, papers, and other staples. Margin compressed by heavy discounting — Binders alone carry $567 in discounts.

Furniture — $693.5K (30%)

Chairs and furnishings contribute steady volume. Conference tables are loss-making. Pricing discipline needed across the category.

⚠️ **Loss-Making Products: Printers & Conference Tables generate $17,000+ in combined annual losses — directly reducing the 12.5% profit margin and requiring immediate pricing or discontinuation action.**

STRATEGIC RECOMMENDATIONS

5 Priority Actions to Unlock Profitability & Sustainable Growth

01

Eliminate Product Losses

+$17K profit recovery

02

Structured Discount Governance

+3–5% margin improvement

03

Expand Consumer Segment

+15–20% segment growth

04

Reduce Year-End Dependency

20–30% volatility reduction

05

Strengthen Technology Category

+10–15% category growth

RECOMMENDATIONS 01 & 02

01 Eliminate Product Losses

OBJECTIVE

Recover $17,000+ in annual profit, improving margin from 12.5% → 13.2% (+0.7pp)

WHY IT MATTERS

Loss-making SKUs (printers, conference tables) directly reduce total profit.

ACTIONS

- **Review product margins within 30 days**
- **Adjust pricing by 5–10% where feasible**
- **Reduce inventory by 20–30%**
- **Discontinue products after 30–60 days if losses persist**

TARGET: ≥ 50% reduction in product losses

02 Discount Control & Governance

OBJECTIVE

Standardize discount allocation, enforce caps, and tie promotions to clear business outcomes

WHY IT MATTERS

Binders receive $567 in discounts vs. $100–137 across other categories — compressing margins.

ACTIONS

- **Set discount limits at 10–15% per category**
- **Tie discounts to inventory reduction targets (~20%)**
- **Track performance of each promotion**
- **Monthly discount audit to flag outliers**

TARGET: +3–5% overall margin improvement

RECOMMENDATIONS 03 & 04

03 Expand Consumer Segment

OBJECTIVE

Grow Consumer revenue & profit by 15–20% over 12 months via higher market penetration and basket size

WHY IT MATTERS

Consumer segment delivers the highest profit at $134.1K — 46% above Corporate.

ACTIONS

- Increase marketing focus on Consumer by 20–30%
- Introduce loyalty programs to drive repeat purchases
- Bundle products to increase average basket size
- Track average order value monthly

TARGET: +15–20% segment profit | +10% avg order value

04 Reduce Year-End Dependency

OBJECTIVE

Boost Q1–Q3 off-season sales by 20–30%, reducing Q4 share from 42% → ~35% of annual revenue

WHY IT MATTERS

Sales are dangerously concentrated in Q4, creating cash flow gaps and forecasting risk.

ACTIONS

- Run targeted campaigns in low-sales months
- Introduce mid-year promotions (Q2 & Q3)
- Use historical data for better demand planning
- Set quarterly revenue targets with incentives

TARGET: 20–30% reduction in monthly sales volatility

RECOMMENDATION 05 & IMPLEMENTATION TIMELINE

05 Strengthen Technology Category

OBJECTIVE

Grow Technology revenue by 10–15% ($84–126K increase) while maintaining margin discipline.

WHY IT MATTERS

Technology contributes 36% of revenue at high margins — the primary growth engine.

ACTIONS

- **Increase inventory by 15–25% for top tech SKUs**
- **Focus marketing on high-performing tech products**
- **Maintain pricing discipline to protect margins**

TARGET: +10–15% category revenue growth

Implementation Timeline

Days 0–30 — **Quick Wins**

Audit product margins · Flag loss-makers

Days 30–60 — **Pricing & Discounts**

Set discount caps · Reprice underperformers

Days 60–120 — **Segment & Category**

Launch Consumer loyalty · Tech inventory increase

Days 120–365 — **Sustain & Scale**

Mid-year campaigns · Quarterly tracking

KEY TAKEAWAYS

Strong Foundation. Targeted Fixes Needed.

Revenue is Growing

489% growth from Feb to Nov demonstrates real demand. The core business model is working.

Profitability Has Levers

$17K+ in losses + uncontrolled discounting = solvable problems with immediate ROI.

Growth is Within Reach

Consumer segment, Technology category, and year-round demand offer clear expansion paths.